RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS AND REPORT OF INDEPENDENT AUDITORS

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

RIVEREDGE OWNERS, INC.

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

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NUSSBAUM
BERG KLEIN & WOLPOW, CPAs LLP

445 Broadhollow Road, Suite 319
Melville, NY 11747
631.845.5252 | Fax 631.845.5279

One Penn Plaza
250 W. 34th Street, Suite 2420
New York, NY 10119
212.684.2414 | Fax 212.684.5433
www.nussbaumcpa.com

Report of Independent Auditors

To the Board of Directors and Shareholders
Riveredge Owners, Inc.
Yonkers, New York

Opinion

We have audited the accompanying financial statements of Riveredge Owners, Inc. (the "Corporation"), which comprise the balance sheets as of December 31, 2021 and 2020, and the related statements of operations and accumulated deficit and cash flows for the years then ended and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 2021 and 2020, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America ("GAAS"). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Corporation and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Corporation's ability to continue as a going concern within one year after the date that the financial statements are issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.

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- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Corporation's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Corporation's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control–related matters that we identified during the audit.

Report on Supplementary Information
Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying supplementary information on pages 14 through 15 is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America.

Disclaimer of Opinion on Required Supplementary Information
Accounting principles generally accepted in the United States of America require that the estimates of future costs of major repairs and replacements be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, which considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Management has omitted the information about the estimates of future costs of major repairs and replacements. Our opinion on the basic financial statements is not affected by the missing information.

Nussbaum Berg Klein & Wolpow, CPAs LLP

Melville, New York
August 23, 2022

RIVEREDGE OWNERS, INC.

BALANCE SHEETS

AS OF DECEMBER 31, 2021 AND 2020

ASSETS

	2021	2020
Current assets:		
Cash and cash equivalents	$ 145,852	$ 83,242
Accounts receivable from tenant-shareholders	52,626	36,314
Laundry receivable	4,070	2,025
Real estate tax refund receivable	123,918	-
Insurance proceeds receivable	5,715	-
Prepaid real estate tax	83,873	87,682
Prepaid expenses	70,254	62,071
Fuel inventory	14,660	5,000
Security deposits held	11,116	17,137
Total current assets	512,084	293,471
Investments:		
Reserve funds	2,364,123	2,335,551
Common property:		
Land, building, improvements and equipment	14,939,174	14,865,562
Less: accumulated depreciation	(11,969,499)	(11,634,873)
Net common property	2,969,675	3,230,689
Total assets	$ 5,845,882	$ 5,859,711

LIABILITIES AND SHARHOLDERS' EQUITY

Current liabilities:		
Accounts payable	$ 130,592	$ 65,208
Common property payable	9,529	-
Storm damages payable	133,046	-
Real estate tax refund - legal fees payable	59,237	-
Mortgage payable - current portion	63,185	60,008
Deferred revenue	11,618	11,363
Due to shareholders	104,472	115,518
Deposits payable	11,116	17,137
Total current liabilities	522,795	269,234
Mortgage payable - less current portion	2,260,146	2,321,432
Total liabilities	2,782,941	2,590,666
Shareholders' equity:		
Common shares, $1.00 par value, 90,000 shares authorized, 85,027 issued and outstanding	85,027	85,027
Additional paid-in capital	6,936,768	6,936,768
Treasury stock, 571 shares at cost for 2021	(146,699)	-
Accumulated deficit	(3,812,155)	(3,752,750)
Total shareholders' equity	3,062,941	3,269,045
Total liabilities and shareholders' equity	$ 5,845,882	$ 5,859,711

See notes to financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF OPERATIONS AND ACCUMULATED DEFICIT

FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

	2021	2020
Revenues:		
Maintenance charges	$ 1,513,404	$ 1,513,404
Parking revenue	80,949	83,510
Laundry revenue	26,000	26,325
Other revenues	58,283	61,706
Total revenues	1,678,636	1,684,945
Expenses:		
Payroll and related	236,860	239,114
Utilities	232,313	163,262
Water and sewer	48,244	34,416
Repairs and maintenance	230,215	134,721
Security	63,439	60,629
Insurance	73,682	64,733
Legal and audit fees	17,741	9,225
Legal fees related to real estate tax refunds	59,237	-
Management fee	48,552	47,893
Real estate taxes, net of refund	240,345	381,895
Corporate taxes and miscellaneous	27,275	29,322
Interest expense	125,512	128,522
Total expenses	1,403,415	1,293,732
Income before depreciation	275,221	391,213
Depreciation	(334,626)	(344,550)
Net income (loss)	(59,405)	46,663
Accumulated deficit, beginning of year	(3,752,750)	(3,799,413)
Accumulated deficit, end of year	$ (3,812,155)	$ (3,752,750)

See notes to financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF CASH FLOWS

FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

	2021	2020
Operating activities:		
Net income (loss)	$ (59,405)	$ 46,663
Adjustments to reconcile net income (loss) to net cash provided by operating activities:		
Depreciation	334,626	344,550
Interest expense - amortization of debt issuance costs	1,899	1,899
Interest earned in reserve accounts	(5,624)	(27,550)
Changes in operating assets and liabilities:		
Accounts receivable from tenant-shareholders	(16,312)	(18,632)
Laundry receivable	(2,045)	210
Real estate tax refund receivable	(123,918)	-
Insurance proceeds receivable	(5,715)	-
Prepaid expenses and fuel inventory	(14,034)	11,800
Accounts payable	65,384	(19,468)
Real estate tax refund - legal fees payable	59,237	-
Storm damages payable	133,046	-
Due to shareholders	(11,046)	(19,221)
Deferred revenue	255	(7,408)
Net cash provided by operating activities	356,348	312,843
Investing activities:		
Change in reserve fund principal	(22,948)	(189,989)
Expenditures for common property additions	(64,083)	(94,620)
Net cash used in investing activities	(87,031)	(284,609)
Financing activities:		
Payments of mortgage principal	(60,008)	(56,991)
Acquisition of treasury stock, at cost	(146,699)	-
Net cash used in financing activities	(206,707)	(56,991)
Net change in cash and cash equivalents	62,610	(28,757)
Cash and cash equivalents, beginning of year	83,242	111,999
Cash and cash equivalents, end of year	$ 145,852	$ 83,242
Cash paid during the year for:		
Mortgage interest	$ 123,871	$ 126,888
Corporate taxes	$ 6,679	$ 7,714

Non-cash investing activities:
See Note 2 - Common Property Payable.

See notes to financial statements.

1. Organization

Riveredge Owners, Inc. (the "Corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York. The building consists of 158 residential apartments. The Corporation's primary purpose is to manage the operations of the property and maintain the common elements.

2. Summary of Significant Accounting Policies

Common Property

Common property includes land, building, improvements and equipment and is stated at cost. Depreciation has been computed by means of the straight-line method over the estimated useful lives of the assets ranging from 5 to 45 years.

Common Property Payable

The Corporation owes money to a vendor for common property additions amounting to $9,529 as of December 31, 2021. Common property payable are costs incurred, but not yet paid, by the Corporation for common property additions. Common property payable balances may be inclusive of contractor fees, engineering and inspection fees for work completed or services performed and equipment purchases. There were no common property payable balances as of December 31, 2020.

Future Needs for Major Repairs and Replacements

The Corporation has accumulated funds for major repairs and replacements, but has not conducted studies to determine the remaining useful lives of the components of certain common property and current estimates of costs of major repairs and replacements that may be required in the future. Accordingly, the Corporation is unable to disclose that information. If further funds are needed the Corporation has the right to borrow, increase regular assessments, pass special assessments, or delay replacements until funds are available. The effect on future assessments has not been determined at this time.

Cash and Cash Equivalents

The Corporation considers all highly liquid financial instruments purchased with maturities of three months or less to be cash equivalents unless they are held for reserve fund purposes. The Corporation maintains cash and cash equivalents at several financial institutions. Accounts at certain institutions are insured by the Federal Deposit Insurance Corporation ("FDIC") up to certain limits. At times the Corporation's cash balances exceed FDIC insurance limits.

Use of Estimates

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses, and disclosure of contingent assets and liabilities. The estimates and assumptions used in the accompanying financial statements are based on management's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates.

2. Summary of Significant Accounting Policies (Continued)

Debt Issuance Costs

Debt issuance costs incurred in connection with the issuance of long-term debt are amortized to interest expense over the term of the debt using the straight-line method, which approximates the effective interest method. The unamortized amount is presented as a reduction of long-term debt on the balance sheet.

Revenue Recognition and Accounts Receivable from Tenant-Shareholders

Tenant-shareholders are subject to monthly maintenance and operating assessments based on their respective share ownership in order to provide funds for the Corporation's operating expenses. Such amounts are recognized as the related performance obligations are satisfied at transaction amounts expected to be collected. The Corporation's performance obligations related to its maintenance and operating assessments are satisfied over time on a daily pro-rata basis. Capital assessments, if any, provide funds for the Corporation's capital improvements and to replenish the reserve fund. The performance obligations related to capital assessments are satisfied when the funds are expended for their designated purpose. The Corporation's policy is to retain legal counsel and place liens on the shares of stock of tenant-shareholders whose maintenance charges are unreasonably delinquent. The Corporation evaluated accounts receivable from tenant-shareholders at December 31, 2021 and 2020, and has determined that no allowance for doubtful accounts is required. Any excess assessments at year end are retained by the Corporation for use in the succeeding year.

As of December 31, 2021, three apartments comprised approximately 82% of the Corporation's total accounts receivable from tenant-shareholders balance.

Corporation Income Tax

For Federal tax purposes, the Corporation's taxes are filed pursuant to Subchapter T of the Internal Revenue Code. Subchapter T Corporations divide their income and expenses between patronage and non-patronage sources. Income is considered patronage sourced if it is derived from an activity that is characterized as directly related to and inseparable from the Corporation's principal business activity and business purpose. Consequently, income from non-patronage sources (non-tenant-shareholder) such as commercial rent, professional apartment rental, etc., in excess of expenses properly attributable thereto, may be subject to Federal tax. The Corporation is also subject to New York State franchise tax based on the Corporation's net taxable income, capital base or prescribed minimum amounts.

As of December 31, 2021, the Corporation had approximately $2,751,000 of operating loss carryforwards for Federal income tax purposes, which will expire in various years through 2037, and approximately $401,000 of operating loss carryforwards, which may be carried forward indefinitely and are limited to 80% of the taxable income in any one tax period. Since the future utilization of these tax carryforward losses is uncertain, no related deferred tax assets have been recognized in the accompanying financial statements.

2. Summary of Significant Accounting Policies (Continued)

Corporation Income Tax (Continued)

The Corporation applies ASC Topic 740, the provision pertaining to uncertain tax positions, and has determined that there are no material uncertain tax positions that require recognition or disclosure in the financial statements. The income tax returns of the Corporation for tax years subsequent to 2017 are open and subject to examination by the taxing authorities.

Fuel Inventory

The Corporation values fuel inventory at cost using the First-in, First-out (FIFO) inventory valuation method.

Accounting Method and Policy

The Corporation prepares its financial statements on the accrual basis of accounting and therefore recognizes revenue when earned, and liabilities when incurred. Bad debts, if any, are recognized in the period in which they are deemed to be uncollectible.

Fair Value of Financial Instruments

The Corporation uses the following methods and assumptions to estimate the fair value of each class of financial instruments for which it is practicable to estimate such value:

Cash and cash equivalents - The carrying amount approximates fair value because of the short maturity of those instruments.

Reserve Fund - The carrying amount approximates fair value because of the short maturity of those instruments.

Accounts receivable from tenant-shareholders - The carrying value of accounts receivable approximates fair value due to their short-term nature and historical collectability.

Accounts payable - The carrying value of accounts payable approximates fair value due to the short-term nature of the obligations.

Mortgage payable - The carrying amount approximates fair value because of the maturity of those instruments and interest rates prevalent in the agreements.

Transfer Fee

It is the Corporation's policy to charge a transfer fee to shareholders upon the resale of shares applicable to their apartments. This charge is equal to $2.75 per share. Such transfer fees are recognized as income to the Corporation at the time of transfer. Transfer fees were $13,024 and $3,234 for the years ended December 31, 2021 and 2020, respectively.

Cash Flows

In November 2016 the FASB issued ASU 2016-18 "*Statement of Cash Flows - Restricted Cash.*" The ASU requires that a statement of cash flows explain the change during the period in the total of cash, cash equivalents and restricted cash when reconciling the beginning of period and end of period total amounts shown in the statement of cash flows. The adoption of the standard had no material effect as there was no restricted cash at December 31, 2021 and 2020.

3. Reserve Funds

The Corporation has a cash management program which provides for investing excess cash in highly rated (low risk) financial instruments. These investments are designated as Reserve Funds and are to be used for capital improvements or major repairs. The Reserve Fund consists of the following as of December 31, 2021 and 2020:

	2021	2020
Sterling National Bank		
Business Money Market account		
Interest rate of 0.20% and 0.60% at December 31, 2021 and 2020, respectively	$ 1,100,184	$ 1,074,883
Signature Bank		
Money Market account		
Interest rate of 0.20% and 0.45% at December 31, 2021 and 2020, respectively	438,628	437,428
Patriots Bank		
Checking account	2,480	2,500
Money Market account		
Interest rate of 0.15% and 0.39% at December 31, 2021 and 2020, respectively	822,831	820,740
Total reserve funds	$ 2,364,123	$ 2,335,551

4. Common Property

Common property consists of the following at December 31, 2021 and 2020:

	2021	2020
Land	$ 150,000	$ 150,000
Building	9,934,597	9,934,597
Improvements	4,352,624	4,300,739
Equipment, truck and fixtures	501,953	480,226
	14,939,174	14,865,562
Less accumulated depreciation	(11,969,499)	(11,634,873)
	$ 2,969,675	$ 3,230,689

During the year ended December 31, 2021, the Corporation incurred total costs for common property additions of $73,612 as follows: $21,200 for the upcoming garage restoration project, $20,000 for the upcoming terrace restoration project, $10,685 for the lobby door, $16,675 for laundry equipment and $5,052 for logo mats. $9,529 is on the Corporation's Balance Sheet as common property payable.

During the year ended December 31, 2020, the Corporation incurred total costs for common property additions of $94,620 as follows: $68,000 for remodeling of superintendent's unit, $10,000 for lobby door and $16,620 for the renovation of the board room.

5. Mortgage Payable

The Corporation has a mortgage with Greystone Servicing Corporation that is secured by the property. The mortgage is in the original amount of $2,800,000 and calls for monthly payments of $15,323 to be applied first to interest at the rate of 5.17% per annum and the balance to principal. The mortgage is for a term of 30 years maturing on February 1, 2043 and is self-amortizing. The mortgage states that there will be a prepayment penalty imposed by the lender in the event of a prepayment of the mortgage after the effective date and before the yield maintenance period end date as such dates are defined. Closing costs associated with the mortgage totaled $56,957 and are being amortized to interest expense over the life of the mortgage. The mortgage is secured by the land and building owned by the Corporation. As of December 31, 2021 and 2020, the balance on the mortgage was $2,363,198 and $2,423,206, respectively.

At December 31, 2021 and 2020, the Corporation had the following long-term debt:

	2021	2020
Mortgage payable	$ 2,363,198	$ 2,423,206
Unamortized debt issuance costs	(39,867)	(41,766)
	2,323,331	2,381,440
Less: current portion	(63,185)	(60,008)
Long-term debt	$ 2,260,146	$ 2,321,432

Principal payments over the next five years and thereafter as follows:

Year ended December 31,	Amount
2022	$ 63,185
2023	66,530
2024	70,052
2025	73,761
2026	77,667
Thereafter	2,012,003
	$ 2,363,198

6. Commitments

The Corporation has an agreement with Westchester Property Management for the management of the building. Fees totaled $48,552 and $47,893 for years ended December 31, 2021 and 2020, respectively. The agreement provides for the management agent to be in charge of (a) collecting all rents and other charges, (b) maintaining the building premises adequately, (c) entering into building contracts, (d) purchasing of supplies, (e) keeping all books and records of the Corporation, (f) managing all building personnel, and (g) procuring insurance.

7. Multi Employer Pension Plan

The Corporation participates in the 2018 Apartment Building Agreement between Realty Advisory Board on Labor Relations Incorporated and Service Employees International Union, Local 32BJ, effective for the period October 1, 2018 to September 30, 2022. The Corporation is obligated to pay into the Pension Fund, Health Fund, and Legal/Training Service Fund for employees covered under the collective bargaining agreement. Contributions paid under these plans are expensed as incurred and amounted to $75,213 in 2021 and $63,859 in 2020. The Corporation's contribution is less than 5 percent of the total contributions made to the plan by all contributing employers.

In the event of withdrawal from the plan, the Corporation may, under the provisions of the Employee Retirement Income Security Act of 1974 ("ERISA"), as amended, be required to pay its proportionate share of the plan's unfunded balance, which cannot be determined at this time. The Corporation has no intention of withdrawing from the plan.

In accordance with the Pension Protection Act of 2006, the Fund receives an annual certified zone status from its actuary which summarizes its funding status. Plans in the "red zone" are generally less than 65% funded, plans in the "yellow zone" are 65% to 80% funded, and plans in the "green zone" are at least 80% funded. For the plan year beginning January 1, 2021, the funds most recent available certified zone status was "green."

The Plan was certified to be in "critical" status for the Plan Year beginning January 1, 2015 because there was a projected Funding Standard Account deficiency within three years. In an effort to improve the Plan's funding situation, the Board of Trustees (the "Trustees") adopted a Rehabilitation Plan on June 18, 2014 designed to assist the Plan in emerging from critical status by the end of the Rehabilitation Period applicable to the Plan. The Rehabilitation Period for this plan was a ten year rehabilitation period that began April 1, 2015.

The following table presents the Plan's status for the most current reporting period.

Pension Fund Information

Legal Name of Pension Plan:	Building Service 32BJ North Pension Fund
Employer Identification Number (EIN):	13-1819138
Plan Number:	001
Type of Plan:	Defined Benefit Pension Plan
Most Current Annual Report for Plan Year End Date:	December 31, 2021
Zone Status:	January 1, 2021 - Green
	January 1, 2020 - Green
Has the Rehabilitation Plan Been Implemented:	Yes
Surcharges Paid to Plan:	None

8. Additional Paid-In Capital - Contributions

The Corporation treats special assessments for capital improvements and maintenance charges used to pay mortgage amortization as contributions to additional paid-in capital for income tax reporting purposes only.

For the years ended December 31, 2021 and 2020, additional paid-in capital increases for income tax purposes were $60,008 and $56,991, respectively.

9. Due to Shareholders

As a result of revisions to Section 467(a) of the New York State Real Property Tax Law, certain shareholders of the cooperative units are eligible for partial abatements of their real estate taxes. In 1997, the New York State School Tax Relief Program ("STAR") was authorized by Section 425 of the Real Estate Property Tax law. The STAR Program provides an exemption from school property taxes for owner occupied residences.

During the years ended December 31, 2021 and 2020, the Corporation received credits of $109,995 and $125,128, respectively, on its real estate bills, which represent the Co-op Abatement, STAR Exemption and other personal and building exemptions for those calendar years. These credits are due to individual shareholders who qualify under these programs. At December 31, 2021 and 2020, $104,472 and $115,518, respectively, had not yet been applied to the shareholders' accounts.

10. Real Estate Tax Refunds

During February 2022, the Corporation settled the property tax review proceedings from the City of Yonkers and Westchester County. The settlement pertaining to tax periods 2016 through 2020 resulted in gross tax refunds amounting to $123,918 and gross tax savings amounting to $40,353. The gross tax refunds have been included as a reduction of real estate tax expense for the year ended December 31, 2021; whereas gross tax savings is given to the Corporation in the form of reduced real estate tax bills. The associated legal fees amounted to $59,237 and were expensed during 2021. As of December 31, 2021, real estate tax refunds receivable was $123,918, and real estate tax refund legal fees payable was $59,237, as shown on the accompanying Balance Sheet.

11. Treasury Stock

On December 10, 2021, the Corporation acquired 571 shares relating to apartment 4J for a total cost of $146,699. During 2022, the Corporation contracted with vendors for minor repairs and maintenance and cleanup work to the apartment. The Corporation intends to re-sell the apartment.

12. Storm Damages and Related Issues

In September 2021, Hurricane Ida caused significant water damages and cleanup costs to the property. As a result, the Corporation filed an insurance claim with their policy carrier. During 2021, the insurance carrier paid to the Corporation $111,491. In addition, during 2022, the insurance carrier paid to the Corporation $5,715. The restoration and cleanup costs amounted to $139,573, of which $6,527 was paid during 2021.

13. Contingency

Claims, lawsuits and complaints arise from time to time in the ordinary course of the Corporation's business. The Corporation is routinely defended by legal counsel assigned by the Corporation's insurance carrier. The Corporation believes and has been advised that any such claims, lawsuits and complaints would be covered by insurance and therefore would not have a material effect on the Corporation's financial statements, if adversely determined against the Corporation.

14. Subsequent Events

The Board of Directors and management have evaluated subsequent events that would require adjustments to, or disclosure in the year-end financial statements through August 23, 2022, at which time the financial statements became available for issuance.

RIVEREDGE OWNERS, INC.

OTHER REVENUES

FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

	2021	2020
Interest income	$ 5,624	$ 27,550
Miscellaneous and late fees	11,189	3,356
Storage fees	28,446	27,566
Transfer fees	13,024	3,234
	$ 58,283	$ 61,706

RIVEREDGE OWNERS, INC.

DETAIL OF EXPENSES

FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

	2021	2020
Payroll and related:		
Salaries and bonuses	$ 150,363	$ 163,924
Payroll taxes	11,284	11,331
Employee benefits	75,213	63,859
Total payroll and related	$ 236,860	$ 239,114
Utilities:		
Fuel oil	$ 178,490	$ 117,071
Electricity and gas	53,823	46,191
Total utilities	$ 232,313	$ 163,262
Repairs and maintenance:		
Exterminator	$ 3,087	$ 3,087
Elevator	10,125	9,145
Miscellaneous repairs and general contracting	27,064	33,391
Painting, plastering and apartment repairs	22,294	-
Doors, locks and intercom	12,423	-
Janitorial supplies	25,665	29,807
Plumbing, heating and boiler	13,134	4,753
Pool expense including supplies	55,872	1,222
Landscaping	27,159	33,316
Roadway repairs	4,000	20,000
Laundry room	7,025	-
Storm-related cleanup and damages, net	22,367	-
Total repairs and maintenance	$ 230,215	$ 134,721
Corporate taxes and miscellaneous:		
Stationary, printing and postage	$ 9,842	$ 10,262
Telephone	10,913	8,845
Corporate taxes	1,950	9,321
Licenses and fees	4,570	894
Total corporate taxes and miscellaneous	$ 27,275	$ 29,322

PragerMetis

Riveredge Owners, Inc.
Financial Statements and Supplementary Information
December 31, 2023 and 2022

Riveredge Owners, Inc.
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December 31, 2023 and 2022

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PragerMetis

Independent Auditor's Report

To the Board of Directors and Stockholders of
Riveredge Owners, Inc.

Prager Metis CPAs, LLC

14 PENN PLAZA
18TH FLOOR
NEW YORK, NY 10122

T 212.643.0099
F 212.947.3878

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Opinion

We have audited the accompanying financial statements of Riveredge Owners, Inc. (a Cooperative Housing Corporation), which comprise the balance sheets as of December 31, 2023 and 2022, and the related statements of operations, stockholders' equity, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 2023 and 2022, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Riveredge Owners, Inc. and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Riveredge Owners, Inc.'s ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Riveredge Owners, Inc.'s internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Riveredge Owners, Inc.'s ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audits, significant audit findings, and certain internal control related matters that we identified during the audits.

Report on Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The schedules of other income and detail of selected expenses on pages 21 and 22 are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Omission of Required Supplementary Information about Future Major Repairs and Replacements

Management has omitted the information about the estimates of future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, which considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Our opinion on the basic financial statements is not affected by this missing information.

Prager Metis CPAs, LLC

Prager Metis CPAs, LLC
New York, New York
April 17, 2024

Riveredge Owners, Inc.
Balance Sheets
December 31, 2023 and 2022

	2023	2022
Assets		
Current assets		
Cash and cash equivalents – operating	$ 48,568	$ 223,965
Cash and cash equivalents – reserve funds – unrestricted	1,376,448	1,645,179
Total cash and cash equivalents	1,425,016	1,869,144
Accounts receivable from tenant-stockholders	25,275	18,646
Laundry receivable	2,200	2,215
Apartment sale proceeds receivable	-	213,665
Insurance proceeds receivable	3,255	-
Prepaid real estate tax	156,216	79,541
Prepaid expenses	6,124	75,933
Fuel inventory	18,545	19,712
Restricted cash – security deposits	16,516	14,516
Total current assets	1,653,147	2,293,372
Investments – reserves	891,297	588,193
Property and improvements at cost	15,452,579	15,125,011
Less: accumulated depreciation	(12,657,099)	(12,307,571)
Net property and improvements	2,795,480	2,817,440
Total assets	$ 5,339,924	$ 5,699,005
Liabilities and stockholders' equity		
Liabilities		
Current liabilities		
Mortgage payable – current portion	$ 70,052	$ 66,530
Accounts payable	101,561	146,789
Common property payable	8,963	38,163
Storm damages payable	23,331	83,819
Deferred revenue	28,063	16,942
Due to tenant-stockholders	84,128	87,271
Deposits payable	16,516	14,516
Other deposits payable	3,750	4,750
Total current liabilities	336,364	458,780
Long-term liabilities		
Mortgage payable, net of current portion	2,127,362	2,195,515
Total liabilities	2,463,726	2,654,295
Stockholders' equity		
Common stock – par value $1 per share, 90,000 shares authorized, 85,027 issued and outstanding	85,027	85,027
Additional paid-in capital in excess of par value	6,994,641	6,994,641
Accumulated deficit	(4,203,470)	(4,034,958)
Total stockholders' equity	2,876,198	3,044,710
Total liabilities and stockholders' equity	$ 5,339,924	$ 5,699,005

Riveredge Owners, Inc.
Statements of Operations
Years Ended December 31, 2023 and 2022

	2023	2022
Revenue		
Maintenance charges	$ 1,513,404	$ 1,503,542
Parking income	81,329	81,578
Interest	76,136	13,889
Storage fees	31,297	31,121
Laundry income	26,280	25,635
Other income	17,333	21,241
Total revenue	1,745,779	1,677,006
Expenses		
Payroll and related expenses	249,503	235,531
Utilities	290,726	344,997
Water and sewer charges	52,920	46,731
Repairs and maintenance	224,945	199,709
Security	72,322	71,560
Insurance	86,587	76,529
Legal and accounting	39,560	24,450
Management fees	51,150	49,341
Real estate taxes	369,302	365,157
Corporate taxes and miscellaneous	24,720	26,900
Mortgage interest	120,862	122,321
Total expenses	1,582,597	1,563,226
Excess of revenue over expenses before realized/ unrealized gain on investments and depreciation	163,182	113,780
Realized gain on investments	4,110	-
Unrealized gain on investments	13,724	1,489
Depreciation	(349,528)	(338,072)
Excess of expenses over revenue	$ (168,512)	$ (222,803)

The accompanying notes are an integral part of these financial statements.

Riveredge Owners, Inc.
Statements of Stockholders' Equity
Years Ended December 31, 2023 and 2022

	Common Stock		Additional Paid-In Capital	Accumulated Deficit	T
	Shares	Amount			
Balance at January 1, 2022	85,027	$ 85,027	$ 6,936,768	$ (3,812,155)	$
Sale of treasury stock	-	-	57,873	-	
Excess of expenses over revenue	-	-	-	(222,803)	
Balance at December 31, 2022	85,027	85,027	6,994,641	(4,034,958)	
Excess of expenses over revenue	-	-	-	(168,512)	
Balance at December 31, 2023	**85,027**	**$ 85,027**	**$ 6,994,641**	**$ (4,203,470)**	**$**

The accompanying notes are an integral part of these financial statements.

Riveredge Owners, Inc.
Statements of Cash Flows
Years Ended December 31, 2023 and 2022

	2023	2022
Cash flows from operating activities		
Excess of expenses over revenue	$ (168,512)	$ (222,803)
Adjustments to reconcile excess of expenses over revenue to net cash provided by (used in) operating activities		
Depreciation	349,528	338,072
Unrealized gain on investments	(13,724)	(1,489)
Interest expense – amortization of debt issuance costs	1,899	1,899
Changes in operating assets and liabilities		
Accounts receivable from tenant-stockholders	(6,629)	33,980
Laundry receivable	15	1,855
Apartment sale proceeds receivable	213,665	(213,665)
Real estate tax refund receivable	-	123,918
Insurance proceeds receivable	(3,255)	5,715
Prepaid expenses and fuel inventory	(5,699)	(6,399)
Accounts payable	(45,228)	16,197
Common property payable	(29,200)	28,634
Deferred revenue	11,121	5,324
Storm damages payable	(60,488)	(49,227)
Due to tenant-stockholders	(3,143)	(17,201)
Deposits payable	2,000	4,750
Other deposits payable	(1,000)	3,400
Real estate tax refund legal fees payable	-	(59,237)
Net cash provided by (used in) operating activities	241,350	(6,277)
Cash flows from investing activities		
Capital expenditures	(327,568)	(185,837)
Purchase of investments	(891,297)	(586,704)
Proceeds from sale of investments	601,917	-
Net cash used in investing activities	(616,948)	(772,541)
Cash flows from financing activities		
Payments of mortgage principal	(66,530)	(63,185)
Sale of treasury stock	-	146,699
Apartment sale additional paid-in capital	-	57,873
Net cash (used in) provided by financing activities	(66,530)	141,387
Net decrease in cash and cash equivalents	(442,128)	(637,431)
Cash, cash equivalents, and restricted cash, beginning of year	1,883,660	2,521,091
Cash, cash equivalents and restricted cash, end of year	$ 1,441,532	$ 1,883,660
Cash, cash equivalents and restricted cash consists of		
Cash and cash equivalents – operating	$ 48,568	$ 223,965
Cash and cash equivalents – reserve funds – unrestricted	1,376,448	1,645,179
Restricted cash – security deposits	16,516	14,516
Cash, cash equivalents and restricted cash, end of year	$ 1,441,532	$ 1,883,660
Supplemental disclosures of cash flow information		
Cash paid for interest	$ 117,349	$ 120,694
Cash paid for state and local income taxes	$ -	$ 1,950

The accompanying notes are an integral part of these financial statements.

Note 1 Organization

Riveredge Owners, Inc. (the "Corporation") was formed June 17, 1980 for the purpose of providing residences for its stockholders by leasing to them under proprietary leases, apartments in the building owned by the Corporation. On April 5, 1982, the Corporation purchased the land and building at 1-3 David Lane, Yonkers, New York, in a Cooperative conversion. The building contains 158 residential apartments. The Corporation's primary purpose is to manage the operations of the property and maintain the common elements.

Note 2 Summary of Significant Accounting Policies

Basis of Presentation

The Corporation prepares its financial statements on the accrual basis of accounting in conformity with accounting principles generally accepted in the United States of America ("GAAP").

Fuel Inventory

The Corporation values fuel inventory at cost using the First-in, First-out (FIFO) inventory valuation method.

Common Property

Common property consists of land, building, improvements and equipment that are stated at cost. Significant additions or improvements extending the lives of the assets are capitalized; normal maintenance and repair costs are expensed as incurred. Depreciation on these assets (except land) has been computed using the straight-line method over the estimated useful lives ranging from 5 to 45 years.

Common property payable is costs incurred, but not yet paid by the Corporation for common property additions. Common property payable balances may be inclusive of contractor fees, engineering and inspection fees for work completed or services performed and equipment purchases. As of December 31, 2023 and 2022, common property payable balances amounted to $8,963 and $38,163, respectively.

Cash and Cash Equivalents

Cash and cash equivalents include cash in bank, money market instruments and other investments having maturities of three months or less at the date of acquisition. Cash equivalents are stated at cost, which approximates fair value.

Concentrations of Credit Risk

From time to time, cash accounts at financial institutions may exceed the Federal Deposit Insurance Corporation insured limits. The Corporation has not experienced any losses in such accounts. The Corporation believes it is not exposed to any significant credit risk to its cash and cash equivalents.

Note 2 Summary of Significant Accounting Policies(continued)

Certain of the Corporation's reserve accounts are insured by the Securities Investor Protection Corporation (SIPC) up to SIPC limits of $500,000, which includes a maximum of $250,000 for cash accounts. SIPC coverage helps investors whose money, stocks and other securities are stolen by a broker or put at risk when a brokerage fails. This coverage does not protect against a decline in the market value of securities. From time to time, cash accounts at financial institutions may exceed the SIPC insured limits. The Corporation has not experienced any losses in such accounts and does not believe it is exposed to any significant credit risk to its reserve funds.

Deferred Financing Costs

The Corporation follows Financial Accounting Standards Board ("FASB") Accounting Standards Update ("ASU") *Interest – Imputation of Interest (Subtopic 835 – 30), Simplifying the Presentation of Debt Issuance Costs*, which requires that unamortized refinancing costs be presented as a deduction from the carrying amount of the mortgage payable. In addition, this ASU requires that the amortization of these refinancing costs be reported as a component of mortgage interest expense.

Revenue Recognition

The Company follows FASB ASU No. 2014-09, *Revenue from Contracts with Customers (Topic 606)*. The ASU requires expanded disclosures relating to the nature, amount, timing, and uncertainty of revenue and cash flows arising from contracts with customers. The performance obligation for maintenance and other assessments, and other income is the maintenance and management of the common property and is met on a periodic basis throughout the year and therefore revenue is recognized when charged for the appropriate period.

Maintenance Charges

Tenant-stockholders are subject to monthly assessments to provide funds for the Corporation's operating expenses, future capital acquisitions, and major repairs and replacements. The maintenance charges are based on an annual budget as determined by the Board of Directors. Accounts receivable at the balance sheet date represent maintenance and other charges due from tenant-stockholders. The Corporation writes off account balances when it has exhausted reasonable collection efforts and determined that the likelihood of collection is remote. These write-offs are charged against the allowance for the credit losses. Based on the Corporation's analysis of its accounts receivable, it was determined that an allowance for credit losses was not required at December 31, 2023 and 2022. Any excess assessments at year end are retained by the Corporation for use in the succeeding year.

Accounts receivable from tenant-stockholders amounted to the following at December 31:

	2023	2022	2021
Accounts receivable from tenant-stockholders	$ 25,275	$ 18,646	$ 52,626

Note 2 Summary of Significant Accounting Policies(continued)

As of December 31, 2023 and 2022, two and three apartments comprised approximately 75% and 77%, respectively, of the Corporation's total accounts receivable from tenant-stockholders.

New Accounting Standards
In June 2016, the FASB issued guidance, Accounting Standards Codification ("ASC") 326 – *Current Expected Credit Loss Standard*, which significantly changed how entities will measure credit losses for most financial assets and certain other instruments that are not measured at fair value through net income. The most significant change in this standard is a shift from the incurred loss model to the expected loss model. Under the standard, disclosures are required to provide users of the financial statements with useful information in analyzing an entity's exposure to credit risk and the measurement of credit losses. Financial assets held by the Corporation that are subject to the guidance in FASB ASC 326 were accounts receivables from tenant-stockholders. The Corporation adopted the standard effective January 1, 2023. The impact of the adoption was not considered material to the beginning accumulated deficit as of January 1, 2023 and primarily resulted in new disclosures only.

Leases
The Corporation follows FASB ASC 842. The Corporation's leasing activity consists primarily of leasing the parking and storage space in the building. These leases are operating lease agreements.

Use of Estimates
The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect certain reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates.

Impairment
In accordance with FASB ASC 360, *Property, Plant and Equipment*, long-lived assets, including property and equipment, are reviewed for impairment and written down to fair value whenever events or changes in circumstances indicate that the carrying amount may not be recoverable through future undiscounted cash flows. The amount of the impairment loss is the excess of the carrying amount of the impaired assets over the fair value of the assets based upon discounted future cash flows. The Corporation has not identified any such losses in 2023 and 2022.

Note 3 Other Income

Parking Income

Parking fees are billed to the tenant-stockholders who lease a parking space on a monthly basis. For the years ended December 31, 2023 and 2022, parking income amounted to $81,329 and $81,578, respectively.

Leases of garage and parking spaces are short-term leases, with terms of less than 12 months, and therefore undiscounted future fixed minimum income is not presented.

Transfer Fees

It is the Corporation's policy to charge a transfer fee to tenant-stockholders upon the resale of stock applicable to their apartments. This charge is equal to $2.75 per share. Such transfer fees are recognized as income to the Corporation at the time of transfer. Transfer fees were $7,599 and $12,598 for the years ended December 31, 2023 and 2022, respectively, and is included as other income on the statements of operations.

Storage Income

Storage fees are billed to tenant-stockholders who lease a storage space. For the years ended December 31, 2023 and 2022, storage income amounted to $31,297 and $31,121, respectively.

Leases of storage spaces are short-term leases, with terms of less than 12 months, and therefore undiscounted future fixed minimum income are not presented.

Laundry Income

The Corporation has legal title to the laundry equipment and receives income from tenant-stockholders who use the laundry machines. For the years ended December 31, 2023 and 2022, laundry income amounted to $26,280 and $25,635, respectively.

Note 4 Common Property

Property and improvements consists of the following at December 31:

	2023	2022
Land	**$ 150,000**	$ 150,000
Building	**9,934,597**	9,934,597
Building improvements	**4,828,586**	4,515,045
Equipment, truck and fixtures	**539,396**	525,369
	15,452,579	15,125,011
Accumulated depreciation	**(12,657,099)**	(12,307,571)
	$ 2,795,480	$ 2,817,440

Note 4 Common Property (continued)

Depreciation expense amounted to $349,528 and $338,072 for the years ended December 31, 2023 and 2022, respectively.

During the year ended December 31, 2023, the Corporation incurred total costs for common property additions of $327,568 as follows: $85,000 for the garage restoration project; $800 for engineering; $208,159 for the paving project; $19,582 for plumbing upgrades, and $14,027 for equipment and fixtures purchases.

During the year ended December 31, 2022, the Corporation incurred total costs for common property additions of $185,837 as follows: $69,365 for the garage restoration project; $55,681 for the terrace and roof restoration project; $27,175 for exterior work; $10,200 for electrical upgrades, and $23,416 for equipment, furniture, and fixture purchases.

Note 5 Cash and Cash Equivalents – Reserve Funds – Unrestricted

Cash and cash equivalents – reserve funds – unrestricted consists of the following at December 31:

	2023	2022
Webster Bank – Business Money Market	$ **364,917**	$ 959,149
Signature Bank – Money Market	**-**	637,116
Signature Securities – Money Markets	**-**	48,914
Signature Securities – U.S. Treasury Bills	**-**	588,193
Capital One Bank – Savings	**256,592**	-
Connect One Bank – Money Market	**258,055**	-
Citizens Bank – Money Market	**258,710**	-
Fidelity – Money Markets	**238,174**	-
Fidelity – U.S. Treasury Bills	**891,297**	-
Total reserve funds	$ **2,267,745**	$ 2,233,372

Note 6 Fair Value Measurement

FASB ASC 820, *Fair Value Measurement*, provides the framework for measuring fair value. The framework provides a fair value hierarchy that prioritizes the inputs of valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements). The three levels of fair value hierarchy under FASB ASC 820 are described as follows:

Level 1 Inputs to the valuation methodology are unadjusted quoted prices for identical assets or liabilities in active markets that the Corporation has the ability to access.

Note 6 Fair Value Measurement (continued)

Level 2 Inputs to the valuation methodology include:

- Quoted prices for similar assets or liabilities in active markets;
- Quoted prices for identical or similar assets or liabilities in inactive markets;
- Inputs other than quoted prices that are observable for the asset or liability;
- Inputs that are derived primarily from or corroborated by observable market data by correlation or other means;

If the asset or liability has a specified or contractual term, the Level 2 inputs must be observable for substantially the full term of the asset or liability.

Level 3 Inputs to the valuation methodology are unobservable and significant to the fair value measurement.

The asset or liability's fair value measurement level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. Valuation techniques used need to maximize the use of observable inputs and minimize the use of unobservable inputs.

The following is a description of the valuation methodology used for assets measured at fair value. There have been no changes in the methodologies used at December 31, 2023 and 2022.

Investment in Fixed Income Securities / Treasury Bonds: Valued at the net asset value of shares held by the Corporation at year-end.

The preceding method described may produce a fair value calculation that may not be indicative of net realizable value or reflective of future fair values. Furthermore, although the Corporation believes its valuation methods are appropriate and consistent with other market participants, the use of different methodologies or assumptions to determine fair value of certain financial instruments could result in a different fair value measurement at the reporting date.

Note 6 Fair Value Measurement (continued)

The following table sets forth by level, within the fair value hierarchy, the Corporation's investments at fair value:

	Assets at Fair Value as of December 31, 2023			
	Level 1	**Level 2**	**Level 3**	**Fair Value**
Fixed income securities/ Treasury Bonds	**$ -**	**$ 891,297**	**$ -**	**$ 891,297**

	Assets at Fair Value as of December 31, 2022			
	Level 1	Level 2	Level 3	Fair Value
Fixed income securities/ Treasury Bonds	$ -	$ 588,193	$ -	$ 588,193

All investment information presented in these financial statements was obtained from information supplied to the Corporation by Fidelity Securities.

Note 7 Mortgage Payable

The Corporation has a mortgage with Greystone Servicing Corporation. The mortgage is in the original amount of $2,800,000 and calls for monthly payments of $15,323 to be applied first to interest at the rate of 5.17% per annum and the balance to principal. The mortgage is for a term of 30 years maturing on February 1, 2043, and is self-amortizing. The mortgage states that there will be a prepayment penalty imposed by the lender in the event of a prepayment of the mortgage after the effective date and before the yield maintenance period end date as such dates are defined. Closing costs associated with the mortgage totaled $56,957 and are being amortized to interest expense over the life of the mortgage. The mortgage is secured by the land and building owned by the Corporation. As of December 31, 2023 and 2022, the balance on the mortgage was $2,233,483 and $2,300,013, respectively.

Note 7 Mortgage Payable (continued)

Mortgage payable as of December 31, 2023 and 2022 consists of the following:

	2023	2022
Mortgage payable	$ 2,233,483	$ 2,300,013
Unamortized debt issuance costs	(36,069)	(37,968)
	2,197,414	2,262,045
Current portion	(70,052)	(66,530)
Mortgage payable, net of current portion	$ 2,127,362	$ 2,195,515

Principal maturities of the mortgage are as follows:

Year Ending December 31	
2024	$ 70,052
2025	73,761
2026	77,666
2027	81,779
2028	86,108
Thereafter	1,844,117
	$ 2,233,483

Mortgage interest expense was $118,963 and $120,422 for the years ended December 31, 2023 and 2022, respectively.

Note 8 Additional Paid-In Capital – Contributions

The Corporation treats special assessments for capital improvements and maintenance charges used to pay mortgage amortization as contributions to additional paid-in capital for income tax reporting purposes only.

For the years ended December 31, 2023 and 2022, additional paid-in capital increases for income tax purposes were $66,530 and $63,185, respectively.

Note 9 Due to Tenant-Stockholders

As a result of revisions to Section 467(a) of the New York State Real Property Tax Law, certain tenant-stockholders of the cooperative units are eligible for partial abatements of their real estate taxes. In 1997, the New York State School Tax Relief Program ("STAR") was authorized by Section 425 of the Real Estate Property Tax law. The STAR Program provides an exemption from school property taxes for owner occupied residences.

During the years ended December 31, 2023 and 2022, the Corporation received credits of $85,700 and $95,872, respectively, on its real estate bills, which represent the Co-op Abatement, STAR Exemption and other personal and building exemptions for those calendar years. These credits are due to individual tenant-stockholders who qualify under these programs. At December 31, 2023 and 2022, $84,128 and $87,271, respectively, had not yet been applied to the tenant-stockholders' accounts. These balances owed to the tenant-stockholders are a result of timing differences from when the credits were received by the Corporation to be given back to the tenant-stockholders.

Note 10 Treasury Stock

On December 10, 2021, the Corporation acquired 571 shares relating to apartment 4J for a total cost of $146,699. During 2022, the Corporation contracted with vendors for minor repairs, maintenance, and cleanup work to the apartment. The costs associated with this work totaled $8,792 and was added to the Corporation's cost basis in the apartment. On December 21, 2022, the Corporation sold its 571 shares relating to apartment 4J for a total sale price of $228,301, of which $301 was related to December's pro-rated maintenance charges on the apartment. Attorney and realty fees and other selling costs amounted to $14,636 and were paid from the total sale price, which brought net proceeds to the Corporation to $213,665.

The net proceeds were received by the Corporation in January 2023, and as such, in 2022, have been included as an apartment sale proceeds receivable on the accompanying balance sheet. As of December 31, 2023 and 2022, apartment sale proceeds receivable was $0 and $213,665, respectively. The excess of the net proceeds over the apartment's cost basis has been recorded as additional paid-in capital.

The associated maintenance charges on the apartment through the date of sale in 2022 were treated as concessions and were offset against the Corporation's maintenance charges income. During 2022 the total concessions netted with maintenance charges amounted to $9,862.

Note 11 Income Taxes

The Corporation is subject to federal, state and local income taxes.

For federal tax purposes the Corporation is required to file Form 1120-C (Cooperative). This taxes non-patronage income after allocating certain expenses. Patronage is revenue and expenses received from tenant-stockholders, whereas non-patronage revenue is received from nontenant-stockholder sources, such as commercial leases and fees charged for services to nontenant-stockholders, etc. There was no federal income tax for the years ended December 31, 2023 and 2022.

As of December 31, 2023, the Corporation had approximately $2,051,000 of operating loss carryforwards for Federal income tax purposes, which will expire in various years through 2037. The Corporation also has approximately $938,000 of operating loss carryforwards, which may be carried forward indefinitely. Such loss carryforwards are deductible against future taxable income and are thereafter limited to 80% of the taxable income in any one tax period. Since the future utilization of these tax carryforward losses is uncertain, no related deferred tax assets have been recognized in the accompanying financial statements.

Corporate taxes which are reflected as a component of corporate taxes and miscellaneous in the accompanying statements of operations represent New York State taxes based on the greater of net income, minimum taxable income computed on gross receipts or its capital base computed at a reduced rate applicable to housing cooperatives.

The Corporation has evaluated its exposure resulting from uncertain tax positions and determined that the exposure is not material to the financial statements. Therefore, these financial statements do not include a liability for unrecognized tax positions. In the event that the Corporation concludes that it is subject to interest and/or penalties arising from uncertain tax positions, the Corporation will present interest as interest expense and penalties as a component of provision for income taxes. In addition, the Corporation's returns are no longer subject to federal, state and local income tax examinations by tax authorities for tax years ended before December 31, 2020.

Note 12 Pension Plan

The Corporation contributes to a multi-employer defined benefit pension plan under the terms of a collective-bargaining agreement that covers its union-represented employees. The risks of participating in this multi-employer plan are different from single-employer plans in the following aspects:

- Assets contributed to the multi-employer plan by one employer may be used to provide benefits to employees of other participating employers.
- If a participating employer stops contributing to the plan, the unfunded obligations of the plan may be borne by the remaining participating employers.

Note 12 Pension Plan (continued)

- Pursuant to the Employee Retirement Income Security Act, as amended, an employer upon withdrawing from a multi-employer plan is required to pay its share of the plan's unfunded vested benefits. The Corporation has no intention of withdrawing from the plan.

The Corporation's participation in the plan for the years ended December 31, 2023 and 2022 is outlined below. The most recent Pension Protection Act (PPA) zone status available is for the plan years ended December 31, 2022 and 2021. The zone status is based on information that the Corporation received from the plan and is certified by the plan's actuary.

Legal Name of Pension Plan:	Building Service 32BJ North Pension Fund
Employer Identification Number (EIN):	13-1819138
Plan Number:	001
Type of Plan:	Defined Benefit Pension Plan
Most Current Annual Report for Plan Year End Date:	31-Dec-22
Zone Status:	January 1, 2021 – Green
Zone Status:	January 1, 2022 – Green
Has the Rehabilitation Plan been implemented?	No

The Corporation's contributions to the multi-employer pension plan for the years ended December 31, 2023 and 2022 were $80,418 and $64,241, respectively, and are included as a component of payroll and related expenses on the statements of operations. The Corporation's contributions for both 2023 and 2022 represent less than 5 percent of the total contributions made to the plan by all contributing employers.

Note 13 Management Agreement

The Corporation has an agreement with Westchester Property Management for the management of the building. The contract expired on December 31, 2023 and thereafter continued on a month-to-month basis. Fees totaled $51,150 and $49,341 for years ended December 31, 2023 and 2022, respectively. The agreement provides for the management agent to be in charge of (a) collecting all rents and other charges, (b) maintaining the building premises adequately, (c) entering into building contracts, (d) purchasing of supplies, (e) keeping all books and records of the Corporation, (f) managing all building personnel, and (g) procuring insurance.

Note 14 Future Major Repairs and Replacements

The Corporation has not conducted a study to determine the remaining useful lives of the components of common property and current estimates of costs of major repairs and replacements that may be required in the future. Although the Board of Directors has segregated funds for future major repairs and replacements, these funds are Board designated. The Board of Directors has not developed a formal plan to fund those needs. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation may have to borrow, utilize available cash, increase maintenance charges, pass special assessments or delay repairs and replacements until the funds are available. The effect on future carrying charges or assessments has not been determined at this time.

Note 15 Insurance Claims

In September 2021, Hurricane Ida caused significant water damages and cleanup costs to the property. As a result, the Corporation filed insurance claims with their policy carrier. During 2021, the insurance carrier paid $111,491 to the Corporation. During 2022, the insurance carrier paid $41,415 to the Corporation. During 2023, the insurance carrier paid $7,629 to the Corporation. These insurance claim proceeds which are directly attributable to the storm damages are netted against those costs incurred as shown on the accompanying schedule of selected expenses. As of December 31, 2023 and 2022, storm damages payable amounted to $23,331 and $83,819, respectively, as shown on the accompanying balance sheets.

During 2023, the Corporation incurred costs relating to water damages and mold remediation, and other general repairs on the property. As a result, the Corporation received insurance proceeds from their policy carrier amounting to $7,917. These insurance proceeds are netted against the related repair costs as shown on the accompanying schedule of selected expenses.

Note 16 Contingency

Claims, lawsuits, and complaints arise from time to time in the ordinary course of the Corporation's business. The Corporation is routinely defended by their private legal counsel and legal counsel assigned by the Corporation's insurance carrier. The Corporation believes and has been advised that any such claims, lawsuits and complaints would be covered by insurance and therefore would not have a material effect on the Corporation's financial statements, if adversely determined against the Corporation.

Note 17 Subsequent Events

In preparing the financial statements the Corporation has evaluated subsequent events through April 17, 2024, the date that the financial statements were available to be issued.

The Board of Directors approved a 9% maintenance increase effective January 1, 2024.

Note 17 Subsequent Events (continued)

During February 2024, there was a fire in an apartment in the building which caused significant damages to the cooperative's property. The fire also resulted in water damages and the need to perform asbestos abatement testing in numerous other apartments. The costs associated with the fire restoration work is expected to approximate $60,000 and is covered by the Corporation's insurance carrier, net of the Corporation's $10,000 insurance deductible. As of March 2024, the insurance carrier paid to the Corporation $50,042. Additionally, the insurance carrier paid $49,154 directly to the restoration service provider. The water damages restoration work and asbestos abatement testing is not covered by insurance and is expected to be in excess of $150,000.

Supplementary Information

Riveredge Owners, Inc.
Other Income
Years Ended December 31, 2023 and 2022

	2023	2022
Miscellaneous and late fees	$ 9,734	$ 8,643
Transfer fees	7,599	12,598
Total other income	**$ 17,333**	$ 21,241

Riveredge Owners, Inc.
Detail of Selected Expenses
Years Ended December 31, 2023 and 2022

	2023	2022
Payroll and related expenses		
Salaries and bonuses	$ 156,918	$ 158,066
Payroll taxes	12,167	13,224
Employee benefits	80,418	64,241
Total payroll and related expenses	$ 249,503	$ 235,531
Utilities		
Fuel oil heating	$ 243,083	$ 292,115
Electricity and gas	47,643	52,882
Total utilities	$ 290,726	$ 344,997
Repairs and maintenance		
Exterminating	$ 3,592	$ 3,093
Elevator	17,487	20,317
Miscellaneous repairs and general contracting	32,307	14,568
Painting, plastering and apartment repairs	17,850	37,815
Doors, locks, windows and intercom	15,303	10,990
Janitorial supplies	19,113	15,934
Plumbing, heating and boiler	18,375	11,849
Pool expense including supplies	49,524	39,654
Landscaping	38,814	36,504
Laundry room	7,447	6,208
Storm related damages and cleanup costs, net	2,200	-
Water damages and mold remediation	2,850	13,009
Fencing	6,500	15,754
Exterior	1,500	-
Insurance refunds	(7,917)	(25,986)
Total repairs and maintenance	$ 224,945	$ 199,709
Corporate taxes and miscellaneous		
Miscellaneous and administrative	$ 13,779	$ 14,255
Telephone	9,213	8,635
State and local income taxes	-	1,950
License and fees	1,728	2,060
Total corporate taxes and miscellaneous	$ 24,720	$ 26,900

WESTCHESTER PROPERTY MANAGEMENT GROUP, INC.
AMERICAN PROPERTY MANAGEMENT GROUP, INC.

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☐ AMERICAN PROPERTY MANAGEMENT GROUP, INC. • CONNECTICUT DIVISION

PROPERTY MANAGEMENT FINANCIAL MANAGEMENT

Enclosed please find a copy of the Riveredge Owners, Inc. 2024 audited financial statements for your review and records.

TARRYTOWN CORPORATE CENTER
520 WHITE PLAINS ROAD, SUITE 450 • TARRYTOWN, NY 10591
(914) 686-9500 • FAX (914) 686-3391
Member C.C.A.C., A.O.A.C., A.C.M.A.
www.wpmginc.com

Riveredge Owners, Inc.
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December 31, 2024 and 2023

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PragerMetis

Independent Auditor's Report

To the Board of Directors and Stockholders of
Riveredge Owners, Inc.

Prager Metis CPAs, LLC

14 PENN PLAZA
18TH FLOOR
NEW YORK, NY 10122

T 212.643.0099
F 212.947.3878

www.pragermetis.com

Opinion

We have audited the accompanying financial statements of Riveredge Owners, Inc. (a Cooperative Housing Corporation), which comprise the balance sheets as of December 31, 2024 and 2023, and the related statements of operations, stockholders' equity, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 2024 and 2023, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Riveredge Owners, Inc. and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Riveredge Owners, Inc.'s ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Report on Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The schedules of other income and detail of selected expenses on pages 19 and 20 are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Omission of Required Supplementary Information about Future Major Repairs and Replacements

Management has omitted the information about the estimates of future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, which considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Our opinion on the basic financial statements is not affected by this missing information.

Prager Metis CPAs, LLC

Prager Metis CPAs, LLC
New York, New York
May 20, 2025

Riveredge Owners, Inc.
Balance Sheets
December 31, 2024 and 2023

	2024	2023
Assets		
Current assets		
Cash and cash equivalents – operating	$ 130,757	$ 48,568
Cash and cash equivalents – reserve funds – unrestricted	1,846,036	1,376,448
Total cash and cash equivalents	1,976,793	1,425,016
Accounts receivable from tenant-stockholders	14,379	25,275
Laundry receivable	2,300	2,200
Insurance proceeds receivable	10,071	3,255
Prepaid real estate tax	157,032	156,216
Prepaid expenses	104,210	6,124
Fuel inventory	7,292	18,545
Restricted cash – security deposits	18,516	16,516
Total current assets	2,290,593	1,653,147
Investments – reserves	-	891,297
Property and improvements at cost	15,493,883	15,452,579
Less: accumulated depreciation	(13,014,704)	(12,657,099)
Net property and improvements	2,479,179	2,795,480
Total assets	$ 4,769,772	$ 5,339,924
Liabilities and stockholders' equity		
Liabilities		
Current liabilities		
Mortgage payable – current portion	$ 73,761	$ 70,052
Accounts payable	123,051	101,561
Common property payable	-	8,963
Storm damages payable	-	23,331
Fire and water damages payable	26,358	-
Deferred revenue	33,315	28,063
Due to tenant-stockholders	76,741	84,128
Deposits payable	18,516	16,516
Other deposits payable	4,250	3,750
Total current liabilities	355,992	336,364
Long-term liabilities		
Mortgage payable, net of current portion	2,055,500	2,127,362
Total liabilities	2,411,492	2,463,726
Stockholders' equity		
Common stock – par value $1 per share, 90,000 shares authorized, 85,027 issued, and 84,670 and 85,027 shares outstanding in 2024 and 2023, respectively	85,027	85,027
Additional paid-in capital in excess of par value	6,994,641	6,994,641
Accumulated deficit	(4,582,882)	(4,203,470)
Treasury stock, 357 and 0 shares at cost in 2024 and 2023, respectively	(138,506)	-
Total stockholders' equity	2,358,280	2,876,198
Total liabilities and stockholders' equity	$ 4,769,772	$ 5,339,924

The accompanying notes are an integral part of these financial statements.

Riveredge Owners, Inc.
Statements of Operations
Years Ended December 31, 2024 and 2023

	2024	2023
Revenue		
Maintenance charges, net	$ 1,644,840	$ 1,513,404
Parking income	80,383	81,329
Interest	53,776	76,136
Storage fees	31,023	31,297
Laundry income	25,850	26,280
Other income	10,799	17,333
Total revenue	1,846,671	1,745,779
Expenses		
Payroll and related expenses	262,939	249,503
Utilities	328,592	290,726
Water and sewer charges	52,221	52,920
Repairs and maintenance	495,817	224,945
Security	77,374	72,322
Insurance	99,094	86,587
Legal and accounting	10,953	39,560
Management fees	52,725	51,150
Real estate taxes	384,242	369,302
Corporate taxes and miscellaneous	31,577	24,720
Mortgage interest	115,424	120,862
Total expenses	1,910,958	1,582,597
(Deficit) excess of revenue over expenses before realized/ unrealized gain/(loss) on investments and depreciation	(64,287)	163,182
Realized gain on investments	57,693	4,110
Unrealized (loss)/gain on investments	(15,213)	13,724
Depreciation	(357,605)	(349,528)
Excess of expenses over revenue	$ (379,412)	$ (168,512)

The accompanying notes are an integral part of these financial statements.

Riveredge Owners, Inc.
Statements of Stockholders' Equity
Years Ended December 31, 2024 and 2023

	Common Stock		Additional Paid-In Capital	Accumulated Deficit	Treasury Stock	Total Stockholders' Equity
	Shares	Amount				
Balance at January 1, 2023	85,027	$ 85,027	$ 6,994,641	$ (4,034,958)	$ -	$ 3,044,710
Excess of expenses over revenue	-	-	-	(168,512)	-	(168,512)
Balance at December 31, 2023	85,027	85,027	6,994,641	(4,203,470)	-	2,876,198
Purchase of treasury stock	-	-	-	-	(138,506)	(138,506)
Excess of expenses over revenue	-	-	-	(379,412)	-	(379,412)
Balance at December 31, 2024	$ 85,027	$ 85,027	$ 6,994,641	$ (4,582,882)	$ (138,506)	$ 2,358,280

The accompanying notes are an integral part of these financial statements.

Riveredge Owners, Inc.
Statements of Cash Flows
Years Ended December 31, 2024 and 2023

	2024	2023
Cash flows from operating activities		
Excess of expenses over revenue	$ (379,412)	$ (168,512)
Adjustments to reconcile excess of expenses over revenue to net cash (used in) provided by operating activities		
Depreciation	357,605	349,528
Unrealized loss/(gain) on investments	15,213	(13,724)
Interest expense – amortization of debt issuance costs	1,899	1,899
Changes in operating assets and liabilities		
Accounts receivable from tenant-stockholders	10,896	(6,629)
Laundry receivable	(100)	15
Apartment sale proceeds receivable	-	213,665
Insurance proceeds receivable	(6,816)	(3,255)
Prepaid expenses and fuel inventory	(87,649)	(5,699)
Accounts payable	21,490	(45,228)
Common property payable	(8,963)	(29,200)
Deferred revenue	5,252	11,121
Storm damages payable	(23,331)	(60,488)
Fire and water damages payable	26,358	-
Due to tenant-stockholders	(7,387)	(3,143)
Deposits payable	2,000	2,000
Other deposits payable	500	(1,000)
Net cash (used in) provided by operating activities	(72,445)	241,350
Cash flows from investing activities		
Capital expenditures	(41,304)	(327,568)
Purchase of investments	-	(891,297)
Proceeds from sale of investments	876,084	601,917
Net cash provided by (used in) investing activities	834,780	(616,948)
Cash flows from financing activities		
Payments of mortgage principal	(70,052)	(66,530)
Purchase of treasury stock	(138,506)	-
Net cash used in financing activities	(208,558)	(66,530)
Net increase (decrease) in cash, cash equivalents and restricted cash	553,777	(442,128)
Cash, cash equivalents, and restricted cash, beginning of year	1,441,532	1,883,660
Cash, cash equivalents and restricted cash, end of year	$ 1,995,309	$ 1,441,532
Cash, cash equivalents and restricted cash consists of		
Cash and cash equivalents – operating	$ 130,757	$ 48,568
Cash and cash equivalents – reserve funds – unrestricted	1,846,036	1,376,448
Restricted cash – security deposits	18,516	16,516
Cash, cash equivalents and restricted cash, end of year	$ 1,995,309	$ 1,441,532
Supplemental disclosures of cash flow information		
Cash paid for interest	$ 113,827	$ 117,349
Cash paid for state and local income taxes	$ 1,950	$ -

The accompanying notes are an integral part of these financial statements.

Note 1 Organization

Riveredge Owners, Inc. (the "Corporation") was formed on June 17, 1980 for the purpose of providing residences for its stockholders by leasing to them under proprietary leases, apartments in the building owned by the Corporation. On April 5, 1982, the Corporation purchased the land and building at 1-3 David Lane, Yonkers, New York, in a Cooperative conversion. The building contains 158 residential apartments. The Corporation's primary purpose is to manage the operations of the property and maintain the common elements.

Note 2 Summary of Significant Accounting Policies

Basis of Presentation
The Corporation prepares its financial statements on the accrual basis of accounting in conformity with accounting principles generally accepted in the United States of America ("GAAP").

Fuel Inventory
The Corporation values fuel inventory at cost using the First-in, First-out (FIFO) inventory valuation method.

Common Property
Common property consists of land, building, improvements and equipment that are stated at cost. Significant additions or improvements extending the lives of the assets are capitalized; normal maintenance and repair costs are expensed as incurred. Depreciation on these assets (except land) has been computed using the straight-line method over the estimated useful lives ranging from 5 to 45 years.

Common property payable is costs incurred, but not yet paid by the Corporation for common property additions. Common property payable balances may be inclusive of contractor fees, engineering and inspection fees for work completed or services performed and equipment purchases.

Cash and Cash Equivalents
Cash and cash equivalents include cash in bank, money market instruments and other investments having maturities of three months or less at the date of acquisition. Cash equivalents are stated at cost, which approximates fair value.

Concentrations of Credit Risk
From time to time, cash accounts at financial institutions may exceed the Federal Deposit Insurance Corporation insured limits. The Corporation has not experienced any losses in such accounts. The Corporation believes it is not exposed to any significant credit risk to its cash and cash equivalents.

Note 2 Summary of Significant Accounting Policies (continued)

Concentrations of Credit Risk (continued)
Certain of the Corporation's reserve accounts are insured by the Securities Investor Protection Corporation (SIPC) up to SIPC limits of $500,000, which includes a maximum of $250,000 for cash accounts. SIPC coverage helps investors whose money, stocks and other securities are stolen by a broker or put at risk when a brokerage fails. This coverage does not protect against a decline in the market value of securities. From time to time, cash accounts at financial institutions may exceed the SIPC insured limits. The Corporation has not experienced any losses in such accounts and does not believe it is exposed to any significant credit risk to its reserve funds.

Deferred Financing Costs
The Corporation follows Financial Accounting Standards Board ("FASB") Accounting Standards Update ("ASU") *Interest – Imputation of Interest (Subtopic 835 – 30), Simplifying the Presentation of Debt Issuance Costs*, which requires that unamortized refinancing costs be presented as a deduction from the carrying amount of the mortgage payable. In addition, this ASU requires that the amortization of these refinancing costs be reported as a component of mortgage interest expense.

Revenue Recognition
The Company follows FASB ASU No. 2014-09, *Revenue from Contracts with Customers (Topic 606)*. The performance obligation for maintenance and other assessments, and other income is the maintenance and management of the common property and is met on a periodic basis throughout the year and therefore revenue is recognized when charged for the appropriate period.

Maintenance Charges
Tenant-stockholders are subject to monthly assessments to provide funds for the Corporation's operating expenses, future capital acquisitions, and major repairs and replacements. The maintenance charges are based on an annual budget as determined by the Board of Directors. Accounts receivable at the balance sheet date represent maintenance and other charges due from tenant-stockholders. The Corporation's policy is to retain legal counsel and place liens on the shares of stock of tenant-stockholders whose maintenance charges are 90 days or more delinquent. The Corporation estimates an allowance for credit losses based on the probability of default, its historical rate of losses, aging, and current and reasonable and supportable forecasted economic conditions. The Corporation writes off account balances when it has exhausted reasonable collection efforts and determined that the likelihood of collection is remote. These write-offs are charged against the allowance for the credit losses. Accounts receivable at the balance sheet date represent maintenance assessments and other charges due from tenant-stockholders. Any excess assessments at year end are retained by the Corporation for use in the succeeding year. Based on the Corporation's analysis of its accounts receivable, it was determined that an allowance for credit losses was not required at December 31, 2024 and 2023

Effective January 1, 2024, the Board of Directors approved a 9% maintenance charge increase.

Note 2 Summary of Significant Accounting Policies (continued)

Maintenance Charges (continued)
Accounts receivable from tenant-stockholders amounted to the following at December 31:

	2024	2023	2022
Accounts receivable from tenant-stockholders	$ 14,379	$ 25,275	$ 18,646

Leases
The Corporation follows FASB ASC 842 for leases in the financial statements of lessors. The Corporation's leasing activity consists primarily of leasing the parking and storage space in the building. These leases are operating lease agreements.

Use of Estimates
The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect certain reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates.

Impairment
In accordance with FASB ASC 360, *Property, Plant and Equipment*, long-lived assets, including property and equipment, are reviewed for impairment and written down to fair value whenever events or changes in circumstances indicate that the carrying amount may not be recoverable through future undiscounted cash flows. The amount of the impairment loss is the excess of the carrying amount of the impaired assets over the fair value of the assets based upon discounted future cash flows. The Corporation has not identified any such losses in 2024 and 2023.

Note 3 Other Income

Parking Income
Parking fees are billed to the tenant-stockholders who lease a parking space on a monthly basis. For the years ended December 31, 2024 and 2023, parking income amounted to $80,383 and $81,329, respectively.

Storage Income
Storage fees are billed to tenant-stockholders who lease a storage space. For the years ended December 31, 2024 and 2023, storage income amounted to $31,023 and $31,297, respectively

Leases of parking and storage spaces are short-term leases, with terms of less than 12 months, and therefore undiscounted future fixed minimum income is not presented.

Note 3 Other Income (continued)

Transfer Fees
It is the Corporation's policy to charge a transfer fee to tenant-stockholders upon the resale of stock applicable to their apartments. This charge is equal to $2.75 per share. Such transfer fees are recognized as income to the Corporation at the time of transfer. Transfer fees were $4,378 and $7,599 for the years ended December 31, 2024 and 2023, respectively, and is included as other income on the statements of operations.

Laundry Income
The Corporation has legal title to the laundry equipment and receives income from tenant-stockholders who use the laundry machines. For the years ended December 31, 2024 and 2023, laundry income amounted to $25,850 and $26,280, respectively.

Note 4 Common Property

Property and improvements consists of the following at December 31:

	2024	2023
Land	$ 150,000	$ 150,000
Building	9,934,597	9,934,597
Building improvements	4,857,249	4,828,586
Equipment, truck and fixtures	552,037	539,396
	15,493,883	15,452,579
Accumulated depreciation	(13,014,704)	(12,657,099)
	$ 2,479,179	$ 2,795,480

Depreciation expense amounted to $357,605 and $349,528 for the years ended December 31, 2024 and 2023, respectively.

During the year ended December 31, 2024, the Corporation incurred total costs for common property additions of $41,304 as follows: $15,763 for the roof and façade restoration project, $12,900 for exterior work and $12,641 for equipment and fixtures purchases.

During the year ended December 31, 2023, the Corporation incurred total costs for common property additions of $327,568 as follows: $85,000 for the garage restoration project; $800 for engineering; $208,159 for the paving project; $19,582 for plumbing upgrades, and $14,027 for equipment and fixtures purchases.

Note 5 Cash and Cash Equivalents – Reserve Funds – Unrestricted

Cash and cash equivalents – reserve funds – unrestricted consists of the following at December 31:

	2024	2023
Webster Bank – Business Money Market	$ 19,198	$ 364,917
Capital One Bank – Savings	-	256,592
Connect One Bank – Money Market	270,510	258,055
Citizens Bank – Money Market	-	258,710
Fidelity – Money Markets	1,556,328	238,174
Total reserve funds	$ 1,846,036	$ 1,376,448

Note 6 Fair Value Measurement

FASB ASC 820, *Fair Value Measurement*, provides the framework for measuring fair value. The framework provides a fair value hierarchy that prioritizes the inputs of valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements). The three levels of fair value hierarchy under FASB ASC 820 are described as follows:

Level 1 Inputs to the valuation methodology are unadjusted quoted prices for identical assets or liabilities in active markets that the Corporation has the ability to access.

Level 2 Inputs to the valuation methodology include:

- Quoted prices for similar assets or liabilities in active markets;
- Quoted prices for identical or similar assets or liabilities in inactive markets;
- Inputs other than quoted prices that are observable for the asset or liability;
- Inputs that are derived primarily from or corroborated by observable market data by correlation or other means;

If the asset or liability has a specified or contractual term, the Level 2 inputs must be observable for substantially the full term of the asset or liability.

Level 3 Inputs to the valuation methodology are unobservable and significant to the fair value measurement.

The asset or liability's fair value measurement level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. Valuation techniques used need to maximize the use of observable inputs and minimize the use of unobservable inputs.

Note 6 Fair Value Measurement (continued)

The following is a description of the valuation methodology used for assets measured at fair value. There have been no changes in the methodologies used at December 31, 2024 and 2023.

Investment in Fixed Income Securities / Treasury Bonds: Valued at the net asset value of shares held by the Corporation at year-end.

The preceding method described may produce a fair value calculation that may not be indicative of net realizable value or reflective of future fair values. Furthermore, although the Corporation believes its valuation methods are appropriate and consistent with other market participants, the use of different methodologies or assumptions to determine fair value of certain financial instruments could result in a different fair value measurement at the reporting date.

The following table sets forth by level, within the fair value hierarchy, the Corporation's investments at fair value:

	Assets at Fair Value as of December 31, 2024			
	Level 1	**Level 2**	**Level 3**	**Fair Value**
Fixed income securities/ Treasury Bonds	**$ -**	**$ -**	**$ -**	**$ -**

	Assets at Fair Value as of December 31, 2023			
	Level 1	Level 2	Level 3	Fair Value
Fixed income securities/ Treasury Bonds	$ -	$ 891,297	$ -	$ 891,297

All investment information presented in these financial statements was obtained from information supplied to the Corporation by Fidelity Securities.

Note 7 Mortgage Payable

The Corporation has a mortgage with Greystone Servicing Corporation. The mortgage is in the original amount of $2,800,000 and calls for monthly payments of $15,323 to be applied first to interest at the rate of 5.17% per annum and the balance to principal. The mortgage is for a term of 30 years maturing on February 1, 2043, and is self-amortizing. The mortgage states that there will be a prepayment penalty imposed by the lender in the event of a prepayment of the mortgage after the effective date and before the yield maintenance period end date as such dates are defined. Closing costs associated with the mortgage totaled $56,957 and are being amortized to interest expense over the life of the mortgage. The mortgage is secured by the land and building owned by the Corporation. As of December 31, 2024 and 2023, the balance on the mortgage was $2,163,431 and $2,233,483, respectively.

Note 7 Mortgage Payable (continued)

Mortgage payable as of December 31, 2024 and 2023 consists of the following:

	2024	2023
Mortgage payable	$ 2,163,431	$ 2,233,483
Unamortized debt issuance costs	(34,170)	(36,069)
	2,129,261	2,197,414
Current portion	(73,761)	(70,052)
Mortgage payable, net of current portion	$ 2,055,500	$ 2,127,362

Principal maturities of the mortgage are as follows:

Year Ending December 31	
2025	$ 73,761
2026	77,666
2027	81,779
2028	86,108
2029	90,667
Thereafter	1,753,450
	$ 2,163,431

Mortgage interest expense was $113,525 and $118,963 for the years ended December 31, 2024 and 2023, respectively.

Note 8 Additional Paid-In Capital – Contributions

The Corporation treats special assessments for capital improvements and maintenance charges used to pay mortgage amortization as contributions to additional paid-in capital for income tax reporting purposes only.

For the years ended December 31, 2024 and 2023, additional paid-in capital increases for income tax purposes were $70,052 and $66,530, respectively.

Note 9 Due to Tenant-Stockholders

As a result of revisions to Section 467(a) of the New York State Real Property Tax Law, certain tenant-stockholders of the cooperative units are eligible for partial abatements of their real estate taxes. In 1997, the New York State School Tax Relief Program ("STAR") was authorized by Section 425 of the Real Estate Property Tax law. The STAR Program provides an exemption from school property taxes for owner occupied residences.

During the years ended December 31, 2024 and 2023, the Corporation received credits of $80,435 and $85,700, respectively, on its real estate bills, which represent the Co-op Abatement, STAR Exemption and other personal and building exemptions for those calendar years. These credits are due to individual tenant-stockholders who qualify under these programs. At December 31, 2024 and 2023, $76,741 and $84,128, respectively, had not yet been applied to the tenant-stockholders' accounts. These balances owed to the tenant-stockholders are a result of timing differences from when the credits were received by the Corporation to be given back to the tenant-stockholders.

Note 10 Treasury Stock

On April 23, 2024, the Corporation acquired 357 shares relating to apartment 8A for a total cost of $106,268. During 2024, the Corporation purchased supplies and contracted with vendors for renovations to the apartment. The costs associated with this work totaled $32,238 and was added to the Corporation's cost basis in the apartment. The Corporation still has title to the shares as of December 31, 2024.

The associated maintenance charges on the apartment during the period in which the Corporation has title to the shares are treated as concessions and are offset against the Corporation's maintenance charges income. During 2024 the total concessions netted with maintenance charges amounted to $4,771.

Note 11 Income Taxes

The Corporation is subject to federal, state and local income taxes.

For federal tax purposes the Corporation is required to file Form 1120-C (Cooperative). This taxes non-patronage income after allocating certain expenses. Patronage is revenue and expenses received from tenant-stockholders, whereas non-patronage revenue is received from nontenant-stockholder sources, such as commercial leases and fees charged for services to nontenant-stockholders, etc. There was no federal income tax for the years ended December 31, 2024 and 2023.

Note 11 Income Taxes (continued)

As of December 31, 2024, the Corporation had approximately $1,618,000 of operating loss carryforwards for Federal income tax purposes, which will expire in various years through 2037. The Corporation also has approximately $1,387,000 of operating loss carryforwards, which may be carried forward indefinitely. Such loss carryforwards are deductible against future taxable income and are thereafter limited to 80% of the taxable income in any one tax period. Since the future utilization of these tax carryforward losses is uncertain, no related deferred tax assets have been recognized in the accompanying financial statements.

Corporate taxes which are reflected as a component of corporate taxes and miscellaneous in the accompanying statements of operations represent New York State taxes based on the greater of net income, minimum taxable income computed on gross receipts or its capital base computed at a reduced rate applicable to housing cooperatives.

The Corporation has evaluated its exposure resulting from uncertain tax positions and determined that the exposure is not material to the financial statements. Therefore, these financial statements do not include a liability for unrecognized tax positions. In the event that the Corporation concludes that it is subject to interest and/or penalties arising from uncertain tax positions, the Corporation will present interest as interest expense and penalties as a component of provision for income taxes. In addition, the Corporation's returns are no longer subject to federal, state and local income tax examinations by tax authorities for tax years ended before December 31, 2021.

Note 12 Pension Plan

The Corporation contributes to a multi-employer defined benefit pension plan under the terms of a collective-bargaining agreement that covers its union-represented employees. The risks of participating in this multi-employer plan are different from single-employer plans in the following aspects:

- Assets contributed to the multi-employer plan by one employer may be used to provide benefits to employees of other participating employers.
- If a participating employer stops contributing to the plan, the unfunded obligations of the plan may be borne by the remaining participating employers.
- Pursuant to the Employee Retirement Income Security Act, as amended, an employer upon withdrawing from a multi-employer plan is required to pay its share of the plan's unfunded vested benefits. The Corporation has no intention of withdrawing from the plan.

The Corporation's participation in the plan for the years ended December 31, 2024 and 2023 is outlined below. The most recent Pension Protection Act (PPA) zone status available is for the plan years ended December 31, 2023 and 2022. The zone status is based on information that the Corporation received from the plan and is certified by the plan's actuary.

Note 12 Pension Plan (continued)

Legal Name of Pension Plan:	Building Service 32BJ North Pension Fund
Employer Identification Number (EIN):	13-1819138
Plan Number:	001
Type of Plan:	Defined Benefit Pension Plan
Most Current Annual Report for Plan Year End Date:	31-Dec-23
Zone Status:	January 1, 2023 – Green
Zone Status:	January 1, 2024 – Green
Total Contributions Received from all Employers:	
Plan Year End:	December 31, 2022 - $26,690,993
Plan Year End:	December 31, 2023 - $26,661,064
Total Number of Employers Contributing More than 5%:	
Plan Year End:	December 31, 2022 - 1
Plan Year End:	December 31, 2023 - 1

The Corporation's contributions to the multi-employer pension plan for the years ended December 31, 2024 and 2023 were $82,683 and $80,418, respectively, and are included as a component of payroll and related expenses on the statements of operations. The Corporation's contributions for both 2024 and 2023 represent less than 5 percent of the total contributions made to the plan by all contributing employers.

Note 13 Management Agreement

The Corporation has an agreement with Westchester Property Management for the management of the building. The agreement is currently on a month-to-month basis. Fees totaled $52,725 and $51,150 for years ended December 31, 2024 and 2023, respectively. The agreement provides for the management agent to be in charge of (a) collecting all rents and other charges, (b) maintaining the building premises adequately, (c) entering into building contracts, (d) purchasing of supplies, (e) keeping all books and records of the Corporation, (f) managing all building personnel, and (g) procuring insurance.

Note 14 Future Major Repairs and Replacements

The Corporation has not conducted a study to determine the remaining useful lives of the components of common property and current estimates of costs of major repairs and replacements that may be required in the future. Although the Board of Directors has segregated funds for future major repairs and replacements, these funds are Board designated. The Board of Directors has not developed a formal plan to fund those needs. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation may have to borrow, utilize available cash, increase maintenance charges, pass special assessments or delay repairs and replacements until the funds are available. The effect on future carrying charges or assessments has not been determined at this time.

Note 15 Insurance Claims

In February 2024, there was a fire in an apartment in the building which caused significant damage to the Corporation's property. The fire also resulted in water damage and the need to perform asbestos abatement testing and removal in numerous other apartments. The Corporation filed an insurance claim with their policy carrier. During 2024, the insurance carrier paid to the Corporation $74,063, which is attributable to the fire restoration work. The insurance carrier also paid $49,154 directly to the fire restoration service provider. The asbestos abatement testing and removal services and water damage restoration work is not covered by insurance. The insurance claim proceeds are netted against the costs incurred.

Costs associated with the fire and water damage totaled $302,137 during 2024, which is inclusive of fire restoration work, asbestos abatement testing and removal, water damage restoration work and various other costs. As of December 31, 2024, fire and water damages payable amounted to $26,358, as shown on the accompanying balance sheets.

As a result of damages caused by Hurricane Ida in 2021, the Corporation received remaining insurance proceeds from their policy carrier amounting to $4,726 and $7,917 during 2024 and 2023, respectively. These insurance proceeds are shown as a reduction of repairs and maintenance costs.

Note 16 Contingency

Claims, lawsuits, and complaints arise from time to time in the ordinary course of the Corporation's business. The Corporation is routinely defended by their private legal counsel and legal counsel assigned by the Corporation's insurance carrier. The Corporation believes and has been advised that any such claims, lawsuits and complaints would be covered by insurance and therefore would not have a material effect on the Corporation's financial statements, if adversely determined against the Corporation.

Note 17 Subsequent Events

In preparing the financial statements the Corporation has evaluated subsequent events through May 20, 2025, the date that the financial statements were available to be issued.

Riveredge Owners, Inc.
Other Income
Years Ended December 31, 2024 and 2023

	2024	2023
Miscellaneous and late fees	$ 6,421	$ 9,734
Transfer fees	4,378	7,599
Total other income	**$ 10,799**	$ 17,333

Riveredge Owners, Inc.
Detail of Selected Expenses
Years Ended December 31, 2024 and 2023

	2024	2023
Payroll and related expenses		
Salaries and bonuses	$ 167,267	$ 156,918
Payroll taxes	12,989	12,167
Employee benefits	82,683	80,418
Total payroll and related expenses	$ 262,939	$ 249,503
Utilities		
Fuel oil heating	$ 267,710	$ 243,083
Electricity and gas	60,882	47,643
Total utilities	$ 328,592	$ 290,726
Repairs and maintenance		
Exterminating	$ 3,002	$ 3,592
Elevator	13,404	17,487
Miscellaneous repairs and general contracting	16,315	32,307
Painting, plastering and apartment repairs	5,600	17,850
Doors, locks, windows and intercom	10,906	15,303
Janitorial supplies	21,563	19,113
Plumbing, heating and boiler	56,666	18,375
Pool expense including supplies	56,840	49,524
Landscaping	68,142	38,814
Laundry room	20,031	7,447
Storm related damages and cleanup costs, net	-	2,200
Fire and water damages, net	228,074	-
Water damages and mold remediation	-	2,850
Fencing	-	6,500
Exterior	-	1,500
Other Insurance refunds	(4,726)	(7,917)
Total repairs and maintenance	$ 495,817	$ 224,945
Corporate taxes and miscellaneous		
Miscellaneous and administrative	$ 18,392	$ 13,779
Telephone	9,720	9,213
State and local income taxes	1,950	-
License and fees	1,515	1,728
Total corporate taxes and miscellaneous	$ 31,577	$ 24,720